ACCOUNTING

zero - 2 - 100

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First Edition

GLOBAL
STUDENT
EDITION

Contents

Section 1: Getting Started

Click on the link to start using the software. No signup or login is required. AZto100 link. Page 2

Section 2: Introduction Page 3

- Software and its purpose and functionality

- Target audience and how to benefit from using the software

Section 3: Basic use of AZto100 software Page 4

Section 4: What is required to do accounting? Page 6

Section 2: Introduction

Purpose and functionality of the software.

The software is free to use for anyone. No signup is required and the software runs as a local static website in any compatible browser with javascript active. Data is stored locally on your computing device and no user information is recorded (impossible to record user information since it only runs locally in your machine.)

Functionally, the software records accounting transactions that the user specifies. The transaction data is stored in localStorage in your browser and may be saved by the user to his own file system as a csv type file. The saved csv file may be opened in excel or a text editor if required. The user can also load the csv file into the website if they need to improve or extend the exercise.

This booklet is not intended to inform the reader of Accounting in general; it is meant as a reference for the AZto100 software only. The following is a very basic introduction to Accounting:

The property a business owns is called its assets. A business does not own Liabilities, Owner's Equity and Sales, but a business has Liabilities, Ownership and hopefully, Sales. What do I mean by this?

Think about the following scenario...I lend you $100, so now the $100 is your property or asset. You also owe me $100 now, which is a liability, but not something you own. If you wrote down your assets, the $100 would be an asset in your Bank account and the loan would be shown as a liability. It **represents the same $100** as where it the **money came from** (liability=loan) and where you **invested the money** in your Bank account (asset).

If this was for your business, you could get money by, in place of taking a loan, getting me to invest $500 in your business so that I own part of the business. That type of investment is called Equity and will be shown as Ownwers' Equity. Your company bank account will now have $500 + $100 = $600 and in your company Equity will be $500 and in Liabilities will be $100. You should observe that since the $600 in your Bank account is the same money as the $100 + $500 in the Liabilities and Equity, that the amounts will always be the equal.

This is called the **Accounting Equation: Assets = Liabilities + Owners' Equity**.

It must always balance, i.e be equal, since it represents **the same money - where it is** (bank account=Assets) and **where it came from** (Liabilities and Equity).

Finally, when you make a profit (shown at the bottom of the Income Statement) that profit gets added to your Bank account=Asset and added to your Equity as Retained Earnings.

Target audience and how to benefit from using the software.

Schools or collage or university **students** at undergraduate level or MBA type courses may benefit from using the website.

Lecturers may use the website to quickly create problem solutions and eliminate calculation errors from the manual process.

The preferred way of using the software for students, would be to use it as a checking mechanism and to do the primary exercise using paper and pencil. The benefit for a student learning to do accounting would be in **seeing the impact of each transaction on the various statements that update in real time**.

Section 3: Basic use of AZto100 software.

(refer to the Yellow Buttons 1 on the graphic below)

1 Load your saved files.

2 Enter new transactions in the "Green" area with " Transaction Amount", "Debit", "Credit" etc and then press the button 2 or Enter.

3 The save button will save your transaction to a file that may be loaded using 1 .

4 Click on the Exercise button to read the detailed explanation of each transaction in the example. Examples are selected at 5 .

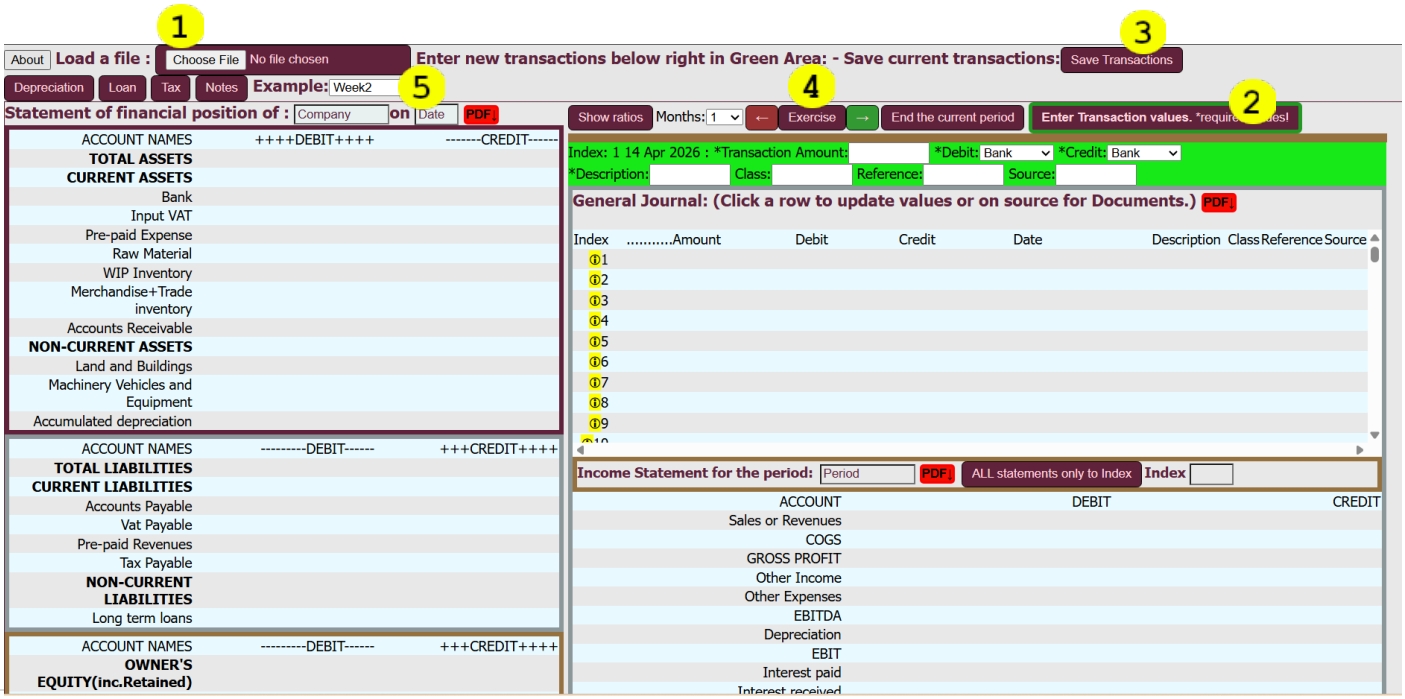
Only Week2 and Week3 are currently activated. Use the arrows before Exercise after to advance or go back a transaction description.

The above steps are all that is required to use the software to store transactions. To maximise your learning, inspect the reports that are automatically updated to see what changes results from each transaction.

Also, to prepare for an examination**, duplicate the process using paper and pencil.** That way you get the paper solution and check your work on the software. Templates to use for the Statement of Financial Position and Profit/loss or Income statements are available on the next page. You should add headings to this if required.

Depending on the course you are taking, some may require you to first do T-accounts and then the General Journal, or the other way round. You should follow the course requirements when completing exercises on paper, and use the software to check your totals etc.

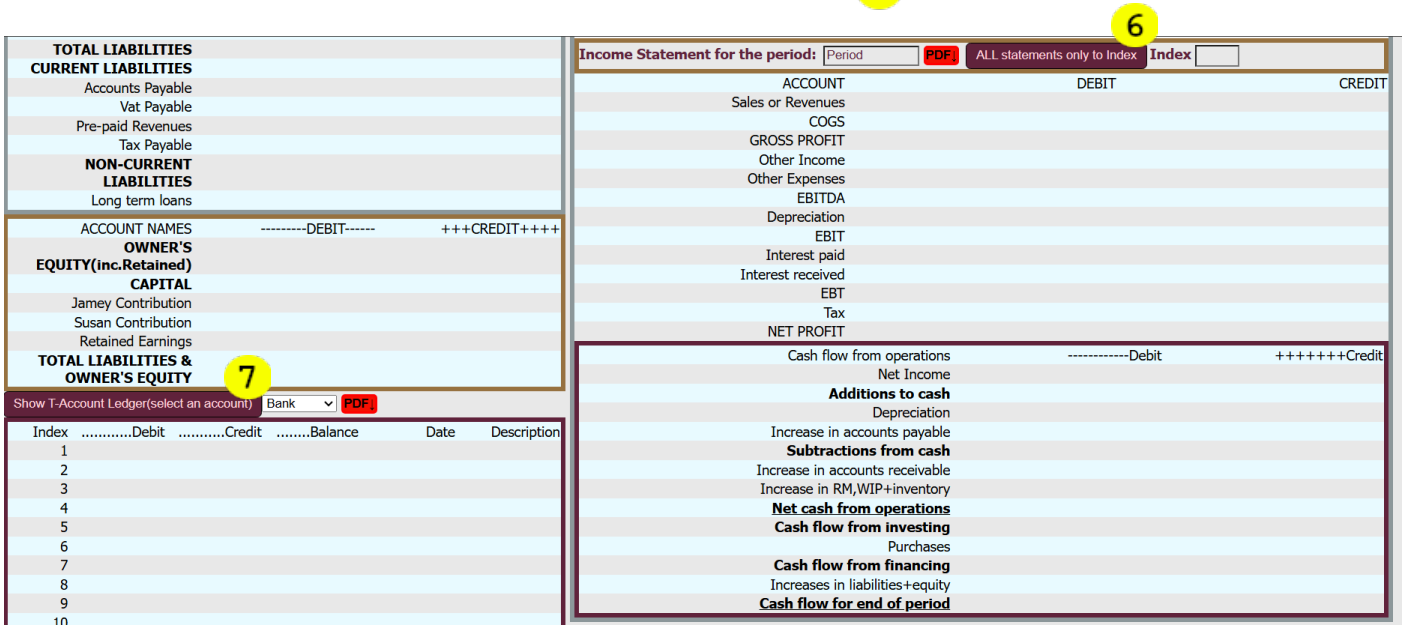
The Buttons below 1. "Depreciation" "Loan" "Tax" and "Notes" open additional webpages where specific calculations may be made or checked. The "Notes" page contains most of the information required to survive the accounting portion of the course EE212, summarized.



6 The image below was scrolled to access the lower portion of the website. **Click on the "Show only to Index" button AFTER setting the index to 1, or 2 etc to inspect the changes that happens due to a specific transaction. The Reports only update to the transaction number, so be carefull using this!**

7 To check a specific account balance **using a paper system**, we normally **post (i.e. duplicate)** the transaction amounts from the specific transactions to a T-account. You can ask AZto100 to do a T-account by selecting an account (Bank currently selected) and the clicking on **"Show T-account Ledger".** 7

When you start a new exercise, reload ↻ the webpage to clear the current exercise. All the statements and Journal will be empty. Reload is the Circular arrow ↻ above/left of 1 (not shown). At any point, you can save the transactions to a CSV file using 3 .



Section 4: What is required to do accounting?

What is the minimum storage requirements for an industrial accounting system?

In other words, what must be stored in a database to make an accounting system work? The minimum storage required for an accounting system depends on the complexity of the system and the specific requirements of the organization. However, some key data that must be stored in a database to make an accounting system work includes:

1. Chart of Accounts: This is a list of all the accounts that are used to track financial transactions, such as cash, accounts payable, accounts receivable, expenses, and revenues.
2. Transactions: All financial transactions must be recorded and stored in the database i.e. the General Journal. 2 & 3 is really in one database called the General Journal, with each line a transaction.
3. General Journal: The general journal is a summary of all the financial transactions that have been recorded. It provides a history of the organization's financial transactions at any given time.
4. Financial Statements: Financial statements, such as the balance sheet, income statement, and cash flow statement and even T-accounts, must be generated from the data stored in the main database i.e. the General Journal. This follows the Information Systems' directive that data should only be stored in one place.
5. User data: Information about users, such as employees, customers, vendors, and suppliers, must be stored in a database to facilitate transactions and generate reports. This portion is not present in the AZto100 software.
6. Audit Trail: An audit trail is a record of all the changes made to the data in the database. It is an essential tool for tracking errors and fraud. In AZto100 all the data is stored in the General Journal and CSV files, but there is no security since users may modify the values at will.
7. Security: Information about user permissions and access controls must be stored in the database to ensure the security of the data. This is not implemented in AZto 100.

In summary, for a student learning accounting system, the only storage requirements are the **Chart of accounts i.e. the General Ledger of Accounts**, and the **transactions that are stored in the General Journal.** All reports are then generated from these two storage sources.